IOWN

The Morning Brief

APRIL 13, 2026

Blockade

Peace talks collapsed Sunday and Trump ordered a US Navy blockade of Hormuz starting today at 10 AM ET, sending oil surging 7% overnight and futures sharply lower.

S&P 500 (FRI)	BRENT CRUDE	GOLD	BITCOIN	FEAR & GREED
6,795 · Futures ↓0.7%	~$102 ↑7% overnight	~$4,750 · Flat Fri	~$72,500 ↑1.6%	12 · Extreme Fear

SECTION 01

Markets

THE CEASEFIRE RALLY REVERSES IN 72 HOURS — BLOCKADE BEGINS TODAY AT 10 AM ET

The most significant escalation since the conflict began has arrived. The US-Iran peace talks in Islamabad collapsed Sunday after 21 hours of face-to-face negotiations led by Vice President JD Vance, and Trump responded by ordering a US Navy blockade of the Strait of Hormuz effective today at 10 AM ET, according to CENTCOM. Oil surged on the news: Brent jumped approximately 7% overnight to near $102, with WTI climbing as much as 9.3% to above $105. S&P 500 futures are down approximately 0.7%, Dow futures down roughly 400 points, Nasdaq futures off 0.6%. Friday's session was essentially flat ahead of CPI and the weekend talks: S&P –0.07%, Dow –0.55%, Nasdaq +0.14%. UVXY rose 1.92% Friday and is positioned to gap higher at today's open. The rally that carried the S&P 7% higher over the prior eight sessions is now at risk of a rapid unwind as the blockade introduces a new risk dimension: direct US military enforcement in the Strait rather than reliance on Iran's selective access framework.

MARCH CPI CONFIRMED 3.3% YOY — ENERGY DROVE THE HEADLINE, CORE REMAINED CONTAINED

Friday's March CPI report showed headline inflation rising 0.9% month-over-month, lifting the annual rate to 3.3%—the highest level since May 2024 and up from 2.4% in February, according to the BLS. Energy rose 10.9% for the month, with gasoline prices surging 21.2%, accounting for nearly three-quarters of the total headline increase. Core CPI, excluding food and energy, rose just 0.2% month-over-month and 2.6% year-over-year—both 0.1 percentage point below consensus forecasts. The split tells the complete macro story: the war's energy shock is flowing through to headline prices, but the underlying inflation process remains contained. For the Fed, this is the most difficult possible print: a headline number that forces continued restraint and a core reading that would,

in any other environment, support easing. The zero-cut posture for 2026 remains intact. With the blockade now threatening to push energy prices higher again, April CPI risks accelerating further.

FRIDAY'S FINAL SESSION — TECH LED, SEMIS CONTINUED THE RECOVERY

Friday's defensive rotation continued even as the index held near flat. Materials (+0.56%), tech (+0.39%), and real estate (+0.21%) led sectors. Healthcare (–1.35%), staples (–1.29%), and financials (–1.09%) lagged. The top IOWN performers were concentrated in AI and crypto: HUT +4.20%, AMD +3.55%, NVDA +2.57%, LRCX +1.89%, ETHA +1.67%. The bottom was led by company-specific issues: FTNT fell 4.91% after disclosing a critical FortiClient EMS zero-day vulnerability. ADP dropped 3.69% after BMO Capital cut its price target, citing cyclical and structural pressures. DGX declined 3.19%. The semiconductor recovery trade has been the dominant non-energy theme: LRCX has gained for several consecutive sessions, TSMC topped Q1 sales on AI demand, and AMD continues its momentum on CPU pricing power and AI infrastructure deals. That thesis does not depend on the ceasefire holding.

BLOCKADE	**Begins today 10 AM ET · CENTCOM order · UK won't join**
BRENT CRUDE	**~$102 · ↑7% overnight · WTI ↑9.3% to above $105**
S&P FUTURES	**↓0.7% Mon AM · Dow ↓400 pts**
MARCH CPI	**3.3% YoY · Highest since April 2024 · Core 2.6%**
ENERGY IN CPI	**+10.9% MoM · Gasoline +21.2%**
FEAR & GREED	**12 · Extreme Fear**

Eight sessions of gains. Seventy-two hours of reversal. The pattern that prior briefs warned about—rallies built on rhetoric rather than resolution—has asserted itself again. The blockade moves the conflict from a geopolitical risk into active US military enforcement, raising the probability of direct escalation. The portfolio's war-time construction, momentarily quieter during the ceasefire rally, is now the operative framework again. Avoid Erosion.

SECTION 02

Geopolitics

ISLAMABAD PEACE TALKS COLLAPSE AFTER 21 HOURS — GAPS TOO WIDE TO BRIDGE

The US delegation, led by Vice President Vance, met with Iranian and Pakistani negotiators for more than 21 hours over the weekend, but the talks ended without an agreement. The US described the failure as stemming from Iran's unwillingness to give up its efforts to obtain a nuclear weapon, according to NPR. Iran's demands, per Iranian state TV, included sovereign control over the Strait of Hormuz, payment of war reparations, and a ceasefire across the broader region including Lebanon. These demands were effectively the same five-point counter-proposal Iran first articulated in late March, which has proven incompatible with Washington's nuclear and navigational requirements. The collapse confirms the analysis from prior briefs: the two positions were not negotiating distance—they were fundamental disagreements about the terms of engagement. The ceasefire announced April 8 is now effectively over, though Trump's CNN statement that the ceasefire is "holding well" even as the blockade begins creates a rhetorical contradiction that markets are struggling to price.

THE US NAVY BLOCKADE — A NEW PHASE OF THE CONFLICT

Trump announced via Truth Social that the US Navy will block any ship attempting to enter or leave the Strait of Hormuz, with CENTCOM confirming a 10 AM ET Monday start time. The order states that vessels transiting to and from non-Iranian ports will not be impeded—an important qualification that distinguishes this from a total closure. The blockade itself is an act of war under international law, representing a material shift from indirect support of Israeli operations to direct US military enforcement. Analysts cited by CNN characterize the operation as a major military endeavor requiring sustained naval presence, escorts, and rules of engagement that could trigger direct US-Iran confrontation in the waterway. Iran's response called the move "piracy," according to the Times of Israel, and the country has vowed to target any vessel participating in the blockade. The duration remains unspecified—Trump stated the blockade would remain in effect until Iran opens the Strait to all traffic, a demand Tehran has consistently rejected.

ALLIES FRACTURE — UK, CHINA REFUSE TO SUPPORT

UK Prime Minister Starmer stated on BBC radio that Britain will not join the US blockade. China urged restraint and called for renewed talks, according to Reuters. Turkey expressed concern about any new Iran-US rules for the Strait. The fracture is significant: the blockade requires sustained multinational naval cooperation to be effective, and the UK's refusal signals that the broader coalition supporting US operations in the region has narrowed. India has not publicly committed. The 22-nation coalition that issued a joint statement condemning Iran's blockade in late March has not reassembled for the US operation. For IOWN, the allied fracture introduces a new variable: the blockade may be sustained longer and at greater cost than the market is currently pricing, and its enforcement may be more limited than the announcement implies. Defense holdings (GD, LMT) benefit from sustained US military deployment but face complexity if the operation becomes politically controversial domestically.

TALKS COLLAPSED	**21 hours · Vance led · Iran refused nuclear concessions**
IRAN DEMANDS	**Hormuz sovereignty · Reparations · Lebanon ceasefire**
BLOCKADE START	**Today 10 AM ET · CENTCOM order · Non-Iranian ports exempt**
UK POSITION	**Will not join blockade (Starmer/BBC)**
CHINA POSITION	**Urges restraint, backs talks**
IRAN RESPONSE	**Calls blockade “piracy” · Vows to target participating vessels**

SECTION 03

On Our Radar

1. Oil's reaction to the blockade is today's dominant signal. Brent's 7% overnight gain to approximately $102 and WTI's surge above $105 reflect the market's rapid repricing of the war premium. If Iran follows through on its threat to target blockade-participating vessels, the supply disruption could widen further. IOWN's energy sleeve (CVX, VLO, OKE, CNX) is positioned for this scenario, though Friday's Energy XLE was down 0.68%—reflecting the ceasefire trade that has now unwound. VLO gained 1.58% on Friday's close and should open materially higher today. Think Like an Owner.

2. The CPI-blockade interaction tightens the Fed's path further. March headline CPI at 3.3% YoY was already the highest since April 2024. With blockade-driven oil back above $100 and potentially climbing, April CPI could accelerate. The core reading at 2.6% provides some relief, but the Fed's focus on headline during energy shocks has historically dominated when the shocks persist. The Warsh Fed Chair confirmation, reportedly delayed from April 16, adds another variable. Rate-sensitive holdings (NEE, BKH, ATO) face a structurally tight environment. Research Reveals Opportunities.

3. Q1 earnings season accelerates this week with FAST reporting today. Fastenal (FAST) reports Q1 results today pre-market with consensus EPS near $0.30. Earlier reports indicated a flat growth outlook despite in-line prior-quarter results, per Yahoo Finance. Through the week, major banks kick off Q1 earnings: JPMorgan, Wells Fargo, Citigroup, and Goldman Sachs on Tuesday; Bank of America and Morgan Stanley on Wednesday. The conflict's impact on corporate guidance will be the primary question. IOWN's diagnostic holdings (DGX, ABT) face product mix headwinds; the industrial sleeve (CAT, STLD, PCAR) benefits from tariff-driven domestic production tailwinds. **The physical world matters.**

4. FTNT's zero-day vulnerability is a company-specific risk within the sleeve. Fortinet disclosed a critical FortiClient EMS zero-day vulnerability Friday, with the stock falling 4.91%. The breach and AI-exploit fears reframe the long-term investment story for cybersecurity, according to Yahoo Finance. Within the IOWN growth sleeve, FTNT's position may require closer monitoring as competitive dynamics in enterprise security shift under AI-driven threat automation. Avoid Erosion.

5. Semiconductor momentum is the cleanest non-geopolitical trade. Friday saw LRCX +1.89%, AMD +3.55%, NVDA +2.57%, TSM +1.40%. TSMC topped Q1 sales on AI demand, confirming that AI infrastructure spending continued through the conflict. The ARM/TSMC/Meta AGI chip partnership announced late March, GTC's $1 trillion pipeline, and continued CPU pricing power all remain intact regardless of the blockade outcome. IOWN's semi exposure (LRCX, TSM, NVDA, AMD, ADI, KEYS, NXPI) has been the portfolio's cleanest beta to the recovery narrative. If oil stabilizes even at elevated levels and the blockade does not escalate to direct confrontation, semis can continue to lead. **Simplicity Over Complexity.**

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